Products and Services Performance

The following table shows net sales by category for 2024, 2023 and 2022 (dollars in millions):

	2024	Change	2023	Change	2022
iPhone	$ 201,183	— %	$ 200,583	(2)%	$ 205,489
Mac	29,984	2 %	29,357	(27)%	40,177
iPad	26,694	(6)%	28,300	(3)%	29,292
Wearables, Home and Accessories	37,005	(7)%	39,845	(3)%	41,241
Services [1]	96,169	13 %	85,200	9 %	78,129
Total net sales	$ 391,035	2 %	$ 383,285	(3)%	$ 394,328

(1) Services net sales include amortization of the deferred value of services bundled in the sales price of certain products.

iPhone

iPhone net sales were relatively flat during 2024 compared to 2023.

Mac

Mac net sales increased during 2024 compared to 2023 due primarily to higher net sales of laptops.

iPad

iPad net sales decreased during 2024 compared to 2023 due primarily to lower net sales of iPad Pro and the entry-level iPad models, partially offset by higher net sales of iPad Air.

Wearables, Home and Accessories

Wearables, Home and Accessories net sales decreased during 2024 compared to 2023 due primarily to lower net sales of Wearables and Accessories.

Services

Services net sales increased during 2024 compared to 2023 due primarily to higher net sales from advertising, the App Store® and cloud services.

Apple Inc.

CONSOLIDATED STATEMENTS OF OPERATIONS

(In millions, except number of shares, which are reflected in thousands, and per-share amounts)

	Years ended		
	September 28, 2024	**September 30, 2023**	**September 24, 2022**
Net sales:			
Products	$ 294,866	$ 298,085	$ 316,199
Services	96,169	85,200	78,129
Total net sales	391,035	383,285	394,328
Cost of sales:			
Products	185,233	189,282	201,471
Services	25,119	24,855	22,075
Total cost of sales	210,352	214,137	223,546
Gross margin	180,683	169,148	170,782
Operating expenses:			
Research and development	31,370	29,915	26,251
Selling, general and administrative	26,097	24,932	25,094
Total operating expenses	57,467	54,847	51,345
Operating income	123,216	114,301	119,437
Other income/(expense), net	269	(565)	(334)
Income before provision for income taxes	123,485	113,736	119,103
Provision for income taxes	29,749	16,741	19,300
Net income	$ 93,736	$ 96,995	$ 99,803
Earnings per share:			
Basic	$ 6.11	$ 6.16	$ 6.15
Diluted	$ 6.08	$ 6.13	$ 6.11
Shares used in computing earnings per share:			
Basic	15,343,783	15,744,231	16,215,963
Diluted	15,408,095	15,812,547	16,325,819

See accompanying Notes to Consolidated Financial Statements.

The following table shows information by reportable segment for 2024, 2023 and 2022 (in millions):

	2024	2023	2022
Americas:			
Net sales	$ 167,045	$ 162,560	$ 169,658
Operating income	$ 67,656	$ 60,508	$ 62,683
Europe:			
Net sales	$ 101,328	$ 94,294	$ 95,118
Operating income	$ 41,790	$ 36,098	$ 35,233
Greater China:			
Net sales	$ 66,952	$ 72,559	$ 74,200
Operating income	$ 27,082	$ 30,328	$ 31,153
Japan:			
Net sales	$ 25,052	$ 24,257	$ 25,977
Operating income	$ 12,454	$ 11,888	$ 12,257
Rest of Asia Pacific:			
Net sales	$ 30,658	$ 29,615	$ 29,375
Operating income	$ 13,062	$ 12,066	$ 11,569

A reconciliation of the Company's segment operating income to the Consolidated Statements of Operations for 2024, 2023 and 2022 is as follows (in millions):

	2024	2023	2022
Segment operating income	$ 162,044	$ 150,888	$ 152,895
Research and development expense	(31,370)	(29,915)	(26,251)
Other corporate expenses, net [1]	(7,458)	(6,672)	(7,207)
Total operating income	$ 123,216	$ 114,301	$ 119,437

(1) Includes general and administrative compensation costs, various nonrecurring charges, and other separately managed costs.

The following tables show net sales for 2024, 2023 and 2022 and long-lived assets as of September 28, 2024 and September 30, 2023 for countries that individually accounted for 10% or more of the respective totals, as well as aggregate amounts for the remaining countries (in millions):

	2024	2023	2022
Net sales:			
U.S.	$ 142,196	$ 138,573	$ 147,859
China [1]	66,952	72,559	74,200
Other countries	181,887	172,153	172,269
Total net sales	$ 391,035	$ 383,285	$ 394,328

	2024	2023
Long-lived assets:		
U.S.	$ 35,664	$ 33,276
China [1]	4,797	5,778
Other countries	5,219	4,661
Total long-lived assets	$ 45,680	$ 43,715

(1) China includes Hong Kong and Taiwan.